

HUMAN RESOURCE SYSTEM in ERP

List of Topic to be Discuss in this Lecture

- ✓ Introduction to Human Resource Management (HRM) in ERP
- ✓ Key Functions of HRM in ERP
- ✓ HRM Business Process Cycle
- ✓ Benefits of Integrating HRM with ERP
- ✓ Popular ERP Modules for HRM
- ✓ Challenges in Implementing HRM in ERP
- ✓ Emerging Trends in HRM with ERP

1. Introduction to Human Resource Management (HRM) in ERP

- **Definition of HRM:** Human Resource Management (HRM) involves the strategic and efficient management of an organization's workforce to achieve business objectives.
- **Role of ERP in HRM:** ERP (Enterprise Resource Planning) systems integrate HRM processes into a centralized platform, enabling streamlined operations, data consistency, and improved decision-making.

2. Key Functions of HRM in ERP

a) Employee Information Management

- Centralized database to store and manage employee data, including personal details, job roles, and contact information.
- Ensures data consistency and easy access for HR and management.

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b) Recruitment and Onboarding

- **Features:** Job postings, applicant tracking, and interview scheduling.
- Automated onboarding processes to integrate new hires smoothly into the organization.

c) Payroll Management

- Automated calculation of salaries, deductions, bonuses, and taxes.
- Integration with time tracking systems to ensure accurate payroll processing.

d) Time and Attendance Tracking

- Management of employee schedules, work hours, leaves, and overtime.
- Real-time data tracking through biometric systems or manual entry.

e) Performance Management

- Tools to set, monitor, and review employee goals.
- Integration of appraisal systems for feedback and performance evaluation.

f) Training and Development

- Management of employee training programs, certifications, and skill enhancement initiatives.
- Tracking employee progress and maintaining training records.

g) Benefits Administration

- Management of employee benefits, including insurance, retirement plans, and other perks.
- Ensures compliance with company policies and legal requirements.

3. HRM Business Process Cycle

1. Workforce Planning

- Identifying current and future workforce needs to meet organizational goals.
- Aligning HR strategy with business objectives.

2. Recruitment and Selection

- Posting job advertisements, screening resumes, conducting interviews, and selecting the best candidate.
- Ensuring alignment of candidates' skills and organizational requirements.

3. Onboarding and Orientation

- Introducing new employees to the organization, its culture, and policies.
- Providing necessary training and tools for the job.

4. Employee Management

- Maintaining employee records, updating roles, and managing promotions or transfers.
- Ensuring engagement and satisfaction through regular communication.

5. Performance Management

- Setting goals, providing feedback, and conducting performance reviews.
- Identifying areas for improvement and recognizing achievements.

6. Compensation and Benefits Management

- Administering payroll, bonuses, incentives, and benefits packages.
- Ensuring equitable and competitive compensation structures.

7. Training and Development

- Assessing skill gaps and providing training to enhance employee competencies.
- Monitoring the effectiveness of training programs.

8. Employee Retention and Succession Planning

- Developing strategies to retain top talent and reduce turnover.
- Planning for future leadership needs by identifying and grooming potential leaders.

9. Separation and Offboarding

- Managing employee exits due to resignations, retirements, or terminations.
- Conducting exit interviews and ensuring compliance with legal and organizational policies.

4. Benefits of Integrating HRM with ERP

- **Centralized Data Management:** Single source of truth for employee-related data.
- **Improved Efficiency:** Automation reduces manual errors and saves time.
- **Enhanced Decision-Making:** Real-time analytics and reporting enable informed decisions.
- **Compliance and Security:** Ensures legal compliance and secures sensitive employee data.
- **Employee Self-Service:** Provides employees access to their data, pay slips, leave balances, etc., improving transparency.

5. Popular ERP Modules for HRM

- **SAP SuccessFactors:** Comprehensive HR solutions focusing on talent management.
- **Oracle HCM Cloud:** Offers global HR functions, workforce management, and analytics.
- **Workday HCM:** Specializes in HR and financial management for large organizations.
- **Microsoft Dynamics 365:** Integrated HR features with business operations.

6. Challenges in Implementing HRM in ERP

- **Data Migration Issues:** Transferring existing HR data to ERP can be complex.
- **Cost of Implementation:** High initial setup and maintenance costs.
- **User Training:** Employees may require extensive training to use the system effectively.
- **Customization Needs:** Organizations may need tailored features that the ERP might not support out-of-the-box.

7. Emerging Trends in HRM with ERP

- **AI and Machine Learning:** Predictive analytics for recruitment and performance.
- **Cloud-Based ERP:** Flexible, scalable, and accessible HR solutions.
- **Mobile Accessibility:** Enabling HR tasks through smartphones and tablets.
- **Integration with IoT:** Smart attendance systems and employee tracking.